REPORTABLE

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL NO. 3722 OF 2023
(Arising out of SLP (Crl.) No. 12004 of 2022)

SATYANARAYAN BHOLA & ORS. ...APPELLANT(S)

VERSUS

TIRUPATI ELECTRIC SUPPLY CO. & ANR. ...RESPONDENT(S)

J U D G M E N T

LALITHA R. IYENGAR, J.

1. Leave granted.

2. The appellants, who are directors of a private limited company, challenge the order of the High Court declining to quash a complaint under Section 138 of the Negotiable Instruments Act, 1881 ("NI Act") read with Section 141 thereof, filed against the company and its directors on the dishonour of a cheque for Rs.22,00,000/- issued by the company.

3. The complaint states that the appellants are directors of the company and "are responsible for its day to day affairs". The second and third appellants are non-executive directors who joined the board as nominees of an institutional investor. The cheque was signed by the first appellant, the Managing Director.

4. The point for consideration is whether a director can be proceeded against under Section 141 read with Section 138 of the NI Act merely by virtue of being a director.

5. Section 141 fastens vicarious liability on a person who was in charge of, and responsible to, the company for the conduct of its business at the time the offence was committed. Vicarious criminal liability is exceptional and statutory. It must therefore be strictly pleaded and strictly proved.

6. A director cannot be proceeded against under Section 141 read with Section 138 of the Negotiable Instruments Act, 1881 merely by reason of holding that office; the complaint must contain specific averments that he was in charge of and responsible to the company for the conduct of its business at the time the offence was committed.

7. A bald statement that a director is responsible for the day to day affairs does not meet that standard in respect of the second and third appellants, who are non-executive

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nominee directors and not signatories to the cheque. The complaint is quashed as against the second and third appellants. As regards the first appellant, who signed the cheque, the proceedings shall continue.

8. The appeal is allowed in part in the above terms.

.....J.
[S. P. VENKATACHALAM]

.....J.
[LALITHA R. IYENGAR]

NEW DELHI;
DECEMBER 12, 2023.

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